

riods, value investors, culling from the bottom of the list, have tended to outperform growth investors. As one example, Professors Richard Thaler of Cornell and Werner De Bondt of the University of Wisconsin constructed sets of portfolios of the fifty best- and worst-performing stocks on the New York Stock Exchange over five-year periods. In each following five-year period the losers outpaced the winners by about 40 percent.

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Some three dozen academic studies show that over long periods value investors earn better returns than growth investors.

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The further once-venerated growth stocks fall down the ranking, the more interesting they become to value investors. "Fallen angels," they're called in the business. IBM was the growth stock of growth stocks until the future of its mainframe business came into question. Before long the growth boys were throwing out the stock and the value crew was catching it, in part because by then it was paying a 5 percent dividend. The drug stocks were the darlings of the growth camp until the Clintons decided to reinvent our health care system and Merck, Pfizer, Eli Lilly, and the rest got cheap enough for the value investors to begin feasting on them.

But just as growth stocks don't grow forever, value stocks, too, have their flaws. For very often the thing valued turns out to be ephemeral. You bought a stock that was trading at half book value and it turns out the book value evaporates, as was true of the open-hearth furnaces on the balance sheets of the steel companies. Or inventory turns out to be worth less than projected. Or, more fundamentally, the stock is cheap because the company is sick, and instead of recovering, as the value buyer expected, the patient dies.